

Reaching a figure

There are many reasons why it's useful to measure how rich a country is. We need to know which countries are very poor and may need help from richer countries. We also need to have an idea of the standard of living in each country—whether the people there have enough to live on. It's helpful too if we can see whether a country is becoming richer, or poorer, over time. It's fairly easy to measure how rich a person is. We can see how much money she has in the bank, what she owns, and most importantly how much she earns. But measuring the wealth of a whole country is not so simple, and economists have suggested different ways of doing it. The generally accepted measure is of the Gross Domestic Product (GDP) of the country. This is calculated by adding up the value of all the goods and services produced within the country in one year. These goods and services are bought and sold, so the GDP tells us about the economic activity in the country, and gives an idea of the country's income.